

Downward Breakouts

Reversal or continuation	Short-term bearish continuation
Performance rank	23 out of 36
Breakeven failure rate	26%
Average drop	15%
Volume trend	Upward
Pullbacks	62%
Percentage meeting price target	41%

Broadening bottoms are middle-of-the-road performers because the breakeven failure rate and average rise or decline are mediocre. I've traded this pattern only a handful of times over the years but made a profit 75% of the time. Even though performance needs improvement, maybe you can make money trading the pattern. Let's see what broadening bottoms have to offer.

Tour

[Figure 8.1](#) shows an example of a broadening bottom. This particular one is called a five-point reversal because there are five alternating touches, two minor lows (2 and 4) and three minor highs (1, 2, and 3). A five-point reversal is also rare: In one study, I located only 5 in the 77 broadening bottoms I examined.

Price trends downward in late August and reaches a low 2 days before the chart pattern begins. That brief dip is what I call undershoot, where the stock is so excited as it drops, it dips below the beginning of the chart pattern within 2 weeks of its start. I ignore brief dips and overshoot—a brief rise within 2 weeks of the pattern's start—when determining the trend start (see the Glossary for details) leading to a chart pattern. Price overshooting or undershooting the formation start is common in many chart pattern types.

How does a broadening bottom differ from a broadening top? A broadening bottom has price trending downward into the start of the pattern; a broadening top has price trending up. The difference is arbitrary. I made the distinction thinking that the two might behave differently.